



How it works

A depression occurs following a protracted period of deep recession, and when an economy is stuck in a perpetual cycle of decline there can be catastrophic results. Banks crash, stock markets plummet, the money supply shrinks, prices fall, investments are rendered almost worthless, there is an increase in

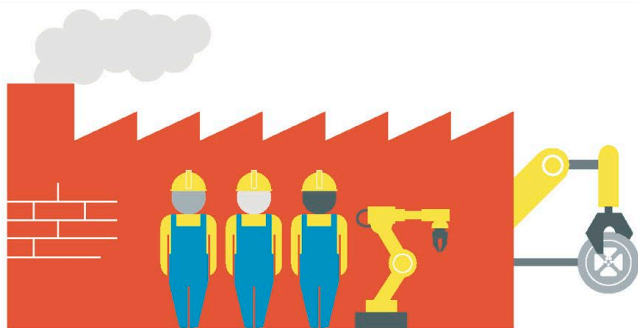
defaults and bankruptcies, and unemployment levels rise as individuals and businesses stop spending. Government attempts to stimulate the economy by pumping more money into it no longer work, and low interest rates no longer encourage consumer spending. Instead, government investment to stimulate employment and growth is needed.



6. The depression spreads around the world as the US, having lent a lot of money to European countries, recalls loans, pulls out of foreign investments, and increases taxes on foreign imports. European banks collapse and unemployment rises.



7. In 1932, US President Franklin D. Roosevelt introduces the New Deal, to fight the depression through economic and social reforms. In Europe, right wing parties emerge, such as Hitler's National Socialist Party, which promises to restore the economy.



8. Countries that leave the gold standard early, and so can depreciate their currencies to combat deflation, tend to begin recovery sooner. For the US, WWII brings an increase in employment (in industrial production and military service) and government spending, which speeds recovery.

40%
the amount the
average US income
fell between 1929
and 1932

LIQUIDITY TRAP

People tend to hold on to money in economically unstable times because it is a reliable store of wealth that can be exchanged quickly for other assets—a good insurance against an uncertain future. Holding on to money also becomes more profitable when prices are dropping, as a given amount of money will buy ever more goods.

When the desire to save is so great that it overwhelms normal spending activity, the economy can become stuck in a liquidity trap. Any increase in the money supply fails to stimulate economic activity, as people continue to hoard money while they wait for the economy to improve. However, this hoarding slows the economy further and can trap it in a depression.